financial institutions.

(iv) Equity price rises raise the market capitalisation of a listed company relative to the replacement cost of its current assets (a factor known as ***Tobin's q***) which induces entrepreneurs to add capacity.

There are many real life examples from around the world which validate the point that a vibrant and rising stock index has been resulting into higher growth rates for the concerned economies between 1951–2005.

Q. 28 Write the main reason of price rise in recent times and discuss the steps taken by the GoI & the RBI to check it.

Ans.[1]Rising prices continued to remain in news throughout the financial year 2012-13. Price rise was basically led by the food products, chiefly the common protein-suppliers like milk, milk products, meat, egg and fishes. To contain the price rise the steps taken by the GoI/RBI were as given below (as per the latest *Economic Survey 2012-13*, p. 93) –

(i) *Fiscal Measures*

(a) Import duties for wheat, onions, pulses, and crude palmolein were reduced to zero and 7.5 per cent for refined vegetable & hydrogenated oils.

(b) Duty-free import of white/raw sugar was extended up to 30 June 2012; presently the import duty has been fixed at 10 per cent.

(ii) *Administrative Measures*

(a) Ban on exports of onions was imposed for short periods of time whenever required. Exports of onions were calibrated through the mechanism of minimum export prices (MEP).

(b) Futures trading in rice, *urad, tur,* guar gum and guar seed was suspended.

(c) Exports of edible oils (except coconut oil and forest-based oil) and edible oils in blended consumer packs up to 5 kg with a capacity of 20,000 tons per annum and pulses (except *Kabuli chana* and organic pulses and lentils up to a maximum of 10,000 tonnes per annum) were banned.